

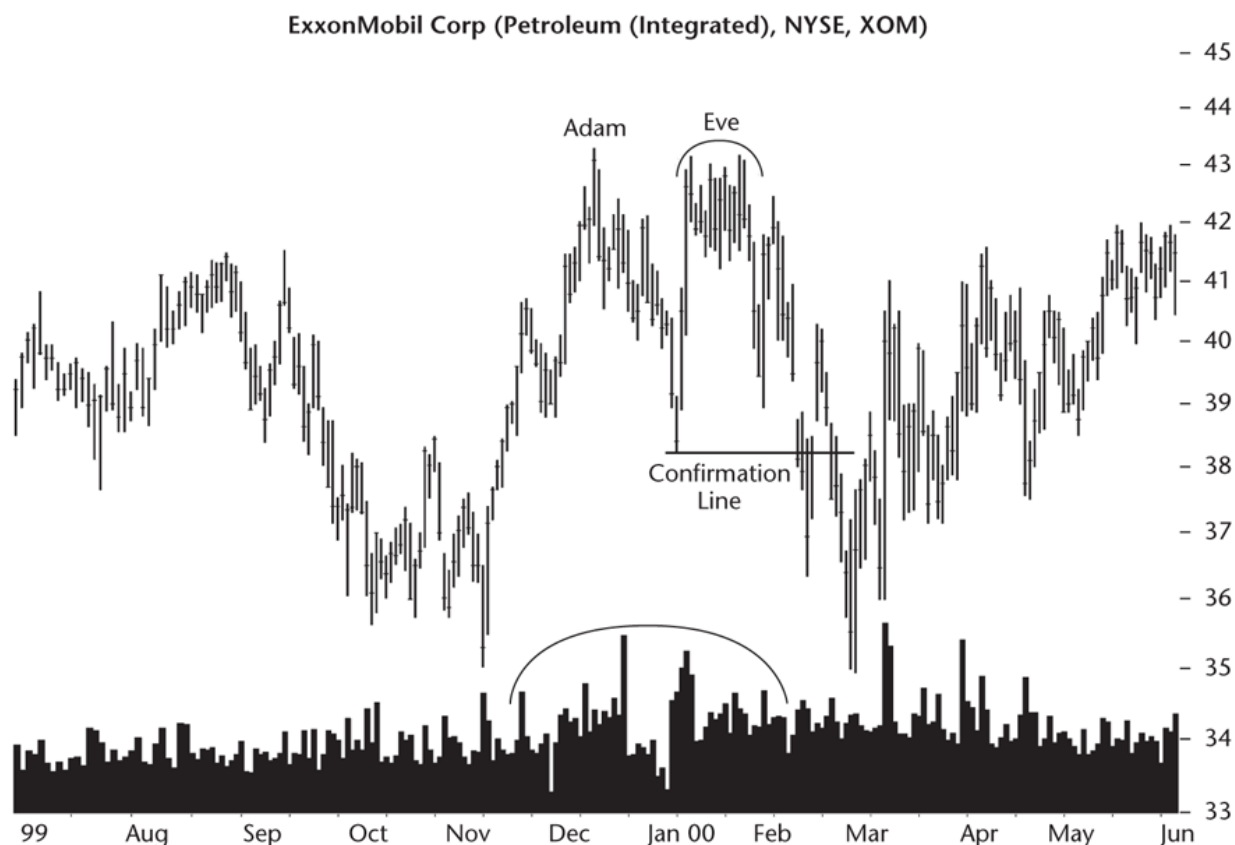


Figure 31.2 An Adam & Eve pattern forms in December and sends price back to the November low.

Price decline after right top. This guideline separates double tops from triple tops. If a third peak forms before confirmation, then ignore the double top and check if it is a triple top. If it is a triple top, then do not trade it as a double top. Common sense, really.

Volume. Volume is usually higher on the left top than on the right as measured by the 5 days surrounding the peak (2 days before to 2 days after). If the right peak has higher volume, do not worry. It happens. The double top in the figure has higher volume on the left peak.

Breakout direction. By definition, the breakout is always downward in confirmed (valid) double tops. A twin-peak pattern becomes a true double top when price closes below the confirmation or breakout price (they are the same).

When confirmation occurs, it might be time to sell a long holding or initiate a short sale. Trading before confirmation may mean price continues rising